Date:__________ Day:__________

Demand

Definition:

Commonly demand means a mere 'wish' or "desire" to have a commodity. But in economics at least two conditions must be fulfilled for the existence of demand.

a) A strong "will" to purchase any thing.
b) Power to purchase a commodity

"Demand is the quantity of a commodity which the consumers are prepared to purchase at a certain price during a specific period of time"

Date: Day:

Law of demand:-

"other things remaining the same the demand of a commodity "expands" with the fall in its price while the demand "contracts" with the rise in price".

Mathematically:

$$dq = f(P)$$

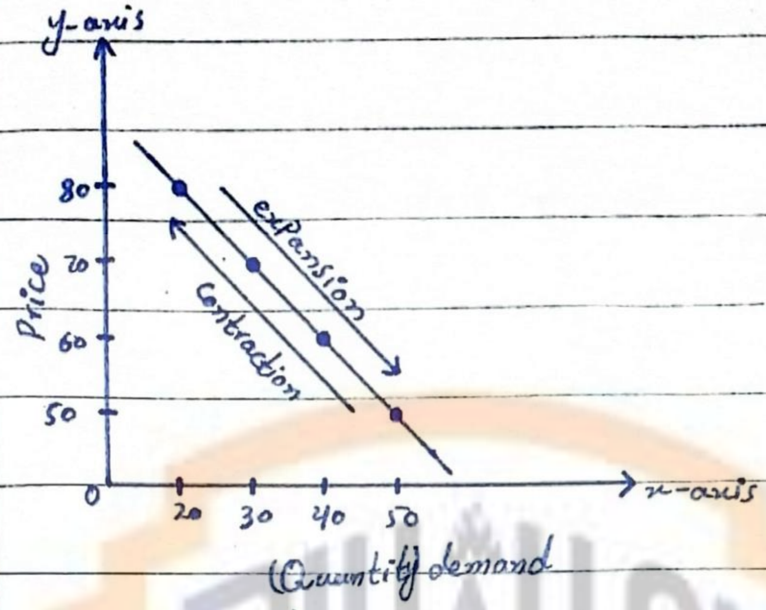
Table

Price	Quantity
80	20
70	30
60	40
50	50

The above table shows the price of commodity and its quantity on different levels. When price increase, demand of commodity is decreases.

Date:__________ Day:__________

Diagram:-



In the diagram, we measure quantity along x-axis and price along y-axis. By joining the points of price and qd we gain demand curve. This cure shows the relationship between Price and qd. This curve is negatively sloped.

Assumptions:-

Assumptions of law of demand are as follows:-

No change in Consumer's Income:-

(In a ord) It is assumed that there is no change in the income

Date: ________ Day: ________

of consumers. If income changes then consumer may buy more units at high price (due to increase in income) and less units at low price (due to decrease in income).

Fashion:-

The fashion and taste of consumers remain unchanged.

Price of substitution:-

Law is applicable if the price of goods do not change.

No. of consumers:-

The number of buyers of good in the market remains the same.

Homogeneity

All the units of the commodity should be equal in quality as well as in quantity.